# Northwind Logistics Corp. (NWLG) — Q3 Review: Margin Recovery Intact, M&A; Optionality Rising

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## Rating and Price Target

We maintain our **EQUAL WEIGHT** rating on Northwind Logistics (NYSE: NWLG) with a price target of **$118** (from $112). Shares closed at $109.25. Q3 2026 revenue of $3.04B (+6% YoY) beat consensus by 2%, and adjusted EBITDA margin expanded 70bps to 14.1% on network optimisation and lower fuel costs.

## Q3 2026 Highlights

Freight brokerage volumes rebounded +9% YoY as the freight cycle turns. Contract logistics (warehousing) grew 11% driven by e-commerce customers. Intermodal remained soft (-3%). Management raised FY2026 adjusted EBITDA guidance to $1.60–1.65B (from $1.55–1.62B) and reiterated a medium-term target of 15% margin.

## Financial Estimates (USD millions, except per share)

| Metric | FY2025A | FY2026E | FY2027E | FY2028E |
|---|---|---|---|---|
| Revenue | 11,140 | 11,820 | 12,480 | 13,150 |
| Adj. EBITDA | 1,480 | 1,625 | 1,780 | 1,920 |
| Adj. EBITDA margin | 13.3% | 13.7% | 14.3% | 14.6% |
| Adj. EPS | 6.12 | 6.85 | 7.70 | 8.45 |
| Net debt | 5,250 | 4,900 | 4,450 | 3,980 |
| Net debt / EBITDA | 3.5x | 3.0x | 2.5x | 2.1x |

## Capital Structure and Refinancing

Northwind has **$1.2B of 4.25% senior notes maturing in June 2027** and a $1.5B revolver expiring 2028. We expect the company to address the 2027 maturity in late 2026 or early 2027 via a new 7–10 year bond. At current BBB- spreads, a new issue would price around 5.6–5.9%, raising annual interest expense by ~$18M. The company is on positive outlook at one rating agency; reaching 2.5x leverage could trigger an upgrade to BBB.

## M&A; and Activism

Activist fund **Kestrel Capital** disclosed a 4.8% stake in September 2026 and is pushing for a separation of the intermodal business and a larger buyback. Separately, press reports and our channel checks indicate Northwind is evaluating a bolt-on acquisition in **cold-chain logistics**; FrostLine Holdings (private, ~$2.1B EV) is the most frequently cited target. A deal financed with ~50% debt would push leverage back to 3.4x.

## Valuation and Risks

Our $118 PT is based on 8.5x FY2027E EV/EBITDA, in line with the 5-year average and a modest discount to asset-light peers. Risks: freight recession relapse, customer concentration (top 10 customers = 31% of revenue), labour disputes at West Coast warehouses, and integration risk on any large acquisition.